PRESENTER BRIEF · SLIDE 6

The financial projections, explained

How every number on the slide is built, why we chose it, what moves it, and what to say when a judge pushes back.

For	Parth Srivastava and Tushar Walia (MBA), presenting slide 6
Model	Illustrative, revised model. Price ₹699 per location per month; variable cost ₹100 per location per month.
Status	Projections are hypotheses. Nothing here is revenue earned; the demo runs on synthetic data.

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01 · WHAT TO SAY

The slide in one minute

Say this

"Our model is simple: revenue is the number of active locations times ₹699 a month. Each location costs us about ₹100 a month to serve (hosting, messages and payment fees), so we keep about ₹600, an 86% gross margin, like most software. With a lean team, we lose money in years one and two while we prove the product in Hyderabad, and turn EBITDA-positive in year three at about 800 locations. That is less than 0.3% of India's salons, and the model breaks even at about 680 locations."

The table on the slide

₹ Lakh	Year 1	Year 2	Year 3
Average active locations	50	250	800
Revenue	4.19	20.97	67.10
Variable COGS	0.60	3.00	9.60
Gross profit	3.59	17.97	57.50
Total OpEx (revised)	15.00	27.00	49.00
EBITDA	-11.41	-9.03	+8.50

02 · THE ARITHMETIC

How each number is built

Line	Formula	Year 1 worked example
Revenue	Average active locations × ₹699 × 12 months	50 × 699 × 12 = ₹4,19,400 = ₹4.19 L
Variable COGS	Average active locations × ₹100 × 12 months	50 × 100 × 12 = ₹60,000 = ₹0.60 L
Gross profit	Revenue − variable COGS	4.19 − 0.60 = ₹3.59 L (86% margin)
OpEx	Team, sales, marketing, tools and compliance (Section 05)	₹15.00 L
EBITDA	Gross profit − OpEx	3.59 − 15.00 = −₹11.41 L

Unit economics behind it

- **Contribution per location:** ₹699 − ₹100 = **₹599 a month**, or **₹7,188 a year**.
- **Break-even locations:** OpEx ÷ annual contribution. Year 1: ₹15 L ÷ ₹7,188 ≈ **209** locations. Year 3: ₹49 L ÷ ₹7,188 ≈ **682** locations.
- **Why "average" locations:** a location that joins in month 10 pays for 3 months, not 12. Average active locations over the year is the honest base for annual revenue, and it already nets out locations that leave.

> **On slide 5 we show these in general terms**
> Slide 5 keeps unit economics deliberately general (low cost to serve, high contribution, break-even at a few hundred locations). This brief has the exact numbers if a judge asks.

03 · ADOPTION

Why these location numbers

Year	Average active	Rough exit count	Net new per month	How we get them
1	50	≈ 100	≈ 8	Founder-led demos in one Hyderabad cluster; one-calendar pilots convert first
2	250	≈ 400	≈ 25	Second Hyderabad cluster; referrals from happy owners; salon-software consultants
3	800	≈ 1,200	≈ 65	Channel partners and associations; a second city

Is 800 locations realistic?

- Industry research puts India's beauty-salon market at about **USD 12.6 billion in 2025** with about **3,00,000 players**, and organised salon outlets above **13,000** (vendor estimates; see Sources).
- 800 locations is under **0.3%** of all players, or about **6%** of organised outlets. Large chains alone run hundreds of outlets (Lakmé Salon 450+, Naturals 800+), so a few chain deals could move this a lot.
- Refill is not salon-only: clinics, physiotherapists, tutoring centres and studios add to the pool; we stay salon-first for focus.

Churn is built in

Small-business software commonly loses **3–7% of customers a month**, and much of that loss happens in the first three months (vendor benchmarks; see Sources). Our average counts are net of churn: at about 4% a month, reaching ≈ 100 locations by the end of year 1 needs roughly 9–10 sign-ups a month, not 8. Good onboarding is the biggest lever, which is why the GTM plan starts with a supervised pilot and a weekly recovered-revenue report to the owner.

04 · COST TO SERVE

Why ₹100 variable cost

Item (per location, per month)	Estimate	Basis
Client messages (when SMS / WhatsApp is switched on)	≈ ₹15–25	About 3 offers per cancellation × 30 cancellations ≈ 90 messages at ≈ ₹0.12–0.25 each (verify current rate cards)
Payment collection	≈ ₹14	About 2% of ₹699 (typical Indian payment gateway)
Hosting and database share	≈ ₹20–40	Paid Supabase + Vercel plans shared across locations
Support tooling and buffer	≈ ₹20–30	Email, monitoring, small allowance
Total	≈ ₹100	Conservative; today the prototype runs on free plans

05 · THE TEAM AND THE SPEND

Why this OpEx

OpEx is the fixed cost of running the company. The split below is illustrative, to show the presenter what ₹15 L, ₹27 L and ₹49 L buy.

₹ Lakh	Year 1	Year 2	Year 3
Team (founder stipends, engineering, onboarding/support, sales)	9.0	17.0	32.0
Sales and demos (travel, demo devices, pilot support)	2.5	4.0	7.0
Marketing (social, printed QR kits, salon events)	1.5	3.0	5.0
Tools, legal, compliance (company, GST, DLT registration, accounting)	1.0	1.5	2.5
Contingency	1.0	1.5	2.5
Total OpEx	15.0	27.0	49.0

Year 1 is a lean founding team proving the product in one city. Year 2 adds onboarding and support so churn stays low. Year 3 adds a second-city team and partner management.

06 · THE VALUE SIDE

Why an owner pays ₹699

- An owner survey by Fresha found hair and beauty businesses lose **almost 7% of monthly revenue to cancellations** (vendor survey; see Sources).
- **Worked example (assumption):** a salon taking ₹3,00,000 a month loses about ₹21,000 to cancellations. Recovering one-sixth of that (₹3,500) is five times the subscription.
- From the slide's value formula: at ₹500 contribution per service, about **2 recovered bookings a month** cover ₹699 after costs.

07 · SENSITIVITIES

What moves the numbers

Scenario	Year 1 EBITDA	Year 2 EBITDA	Year 3 EBITDA	Break-even (Y3 OpEx)
Base: ₹699, 50 / 250 / 800	-11.41	-9.03	+8.50	≈ 682 locations
Lower price: ₹499	-12.61	-15.03	-10.70	≈ 1024 locations
Higher price: ₹999	-9.61	-0.03	+37.30	≈ 455 locations
30% slower adoption: 35 / 175 / 560 at ₹699	-12.48	-14.42	-8.75	≈ 682 locations

Read it this way: price and retention matter most. At ₹499 the company needs about 1,000 locations to break even; at ₹999 about 450. That is why the slide insists on testing ₹499, ₹699 and ₹999 with owners, and why only a paid-pilot decision counts as validation.

08 · ANSWERS

If a judge pushes back

Question	Answer
Where do 50, 250 and 800 come from?	Bottom-up: about 8, 25 and 65 net new locations a month from founder demos, then referrals and partners. It is a hypothesis we test in the 30-day pilot, not a forecast we have evidence for yet.
Is ₹100 COGS too low?	It is conservative for software: hosting is shared, and messages cost paise each. Even at ₹200 the gross margin stays above 70%.
Why are you loss-making for two years?	A small team proves the product in one city first. Contribution per location is high, so profit arrives once locations cross about 680.
What is the biggest risk to the model?	Churn and price. That is why we measure retention in the pilot and test three price points.
Are these real revenues?	No. The demo runs on synthetic data; these are illustrative projections.

09 · WHERE THE OUTSIDE NUMBERS COME FROM

Sources

Vendor and research-firm estimates; methods are not public, so present them as indicative.

- India beauty-salon market size and number of players: Ken Research, India Beauty Salon Market
- Organised salon outlets in India: Nexdigm, India Salon Market
- Revenue lost to cancellations (hair and beauty ≈ 7% a month): Fresha, The Hidden Cost of Cancellations
- SMB SaaS churn benchmarks (3–7% a month): Kalungi, SaaS churn rate benchmarks, UserJot, SaaS churn benchmarks
- Chain footprints (Lakmé Salon 450+, Naturals 800+): reported in Inventiva